

IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC OF SRI
LANKA

In the matter of an Appeal by way of stated Case on a
question of law for the opinion of the Court of Appeal
under and in terms of Section 11A of the Tax Appeals
Commission Act No. 23 of 2011 (as amended).

NDB Venture Investments (Private) Limited,
14, Castle Lane
Colombo 04

APPELLANT

CA Case No: CA/TAX/0016/2015

Tax Appeals Commission

No. TAC/OLD/IT/015

Vs

Commissioner General of Inland Revenue,
Department of Inland Revenue,
Sir Chittampalam A Gardiner Mawatha,
Colombo 02.

RESPONDENT

Before: **Hon. Justice B. Sasi Mahendran**
 Hon. Justice Adithya Patabendige

Counsel: Dr. Shivaji Felix, PC, with Nivantha Satharasinghe, Sajith Navarathne and Asoka
 Obeysekara for the Appellant
 Chaya Sri Nammuni, DSG for the Respondent.

Written 31.08.2026 (by the Appellant)
Submissions: 12.01.2024 (by the Respondent)
On: 12.01.2024 (by the Appellant)

Supported On: 28.07.2026

Judgment On: 08.09.2026

B. Sasi Mahendran, J.

This is a Case Stated submitted for the opinion of this Court by the Tax Appeals Commission (hereinafter referred to as “TAC”) under Section 11 of Act No.23 of 2011 (as amended). The Appellant, NDB Venture Investments (Pvt) Ltd, is a limited liability company (hereinafter referred to as the “Appellant Company”) incorporated in Sri Lanka. According to the Memorandum and Articles of Association, the primary objects for which the company is established are:

1. To carry on the business of a venture capital company and an investment company in all aspects.
2. To participate in the growth of the venture capital business in Sri Lanka.
3. To take part, assist, encourage, sponsor, and facilitate the participation of different entities.
4. To carry on the business of an investment advisor
5. To provide financial, technical, and management support for the advancement of new products.

The Appellant Company was granted a tax exemption under Section 22DDD of the Inland Revenue Act No. 28 of 1979 (as amended) for a period of ten years, commencing on 05th February 1992 and ending on 05th February 2002. The exemption applied to business income falling within the scope of Section 3(a) of the Inland Revenue Act No. 28 of 1979 and No. 38 of 2000.

The Appellant Company has submitted their return for the period of 2005/2006 and 2006/2007, claiming the following income as exempt income, that is, dividend income, profits on the sale of investments, interest income, management fees, and legal expenses, and brought forward losses from the year 2004/2005. However, the Assessor did not accept the returns on certain aspects, acted under Section 163 of the said Act, and issued an assessment. Appellant Company appealed to the Commissioner General of Inland Revenue (hereinafter referred to as the “Respondent”) under Section 165 (1) of the Inland Revenue Act No.10 of 2006.

The Respondent, after considering the statements, records and evidence of both parties, determined that the profits derived from the dividend and profit on the sale of investment in shares are liable to income tax in the years 2005/2006 and 2006/2007 and revised the Assessment issued for the said years.

The Appellant Company, being dissatisfied with the aforesaid determination of the Respondent dated 18th October 2010, preferred an appeal to the Board of Review on 05th November 2010. In the meantime, the TAC was established under the Tax Appeals Commission Act, No. 23 of 2011. Pursuant to Section 10 of the said Act, the present appeal was transferred to the TAC.

Upon considering the submissions made on behalf of both the Appellant and the Respondent at the hearing of the appeal, the TAC confirmed the determination of the Respondent dated 08th September 2015. The principal ground upon which the TAC made its determination against the Appellant Company was that the income derived from dividends and profits arising from the sale of shares constituted gross receipts from trade or business and was, therefore, subject to income tax.

The Appellant, being dissatisfied with the aforesaid determination of the TAC, by its communication dated 29th September 2015, requested the TAC to refer the Case Stated for the opinion of the Court of Appeal. The Case Stated consists of eight questions of law, formulated by the TAC and forwarded to the Court of Appeal for its opinion.

These questions of law, reproduced verbatim, are as follows;

1. Is the determination of the appeal made by the TAC time-barred by the operation of law?
2. Do dividends received by the Appellant form part of its statutory income?
3. Are gains arising on the sale of shares which have been held by the Appellant for a period in excess of two years not liable to income tax?
4. Are dividends received by the Appellant from Board of Investment of Sri Lanka companies and any gains arising on the sales of shares not liable to income tax in the hands of the Appellant, if there are express stipulations to that effect in the relevant Board of Investment of Sri Lanka agreement?
5. Is the interest income received by the Appellant taxable at the rate applicable to venture capital companies?
6. Are management fees and legal expenses incurred by the Appellant deductible in full?

7. Is the amount assessed, as confirmed by the TAC, against the weight of evidence, excessive and without lawful justification?

8. In view of the facts and circumstances of the case, did the TAC err in law when it came to the conclusion that it did?

At the stage of argument, and in the written submissions dated 31st August 2026, Counsel for the Appellant Company informed the Court that the Appellant does not intend to pursue Question of Law No. 01 and would confine the submissions to other questions of law.

Question of Law 02 is *“The question to consider is whether dividends received by the Appellant fall under total statutory income.”*

The TAC considered this issue by examining all relevant evidence, statements, and records submitted with the return. The TAC determined that the dividends constituted part and parcel of the statutory income under its determination marked “X3”, which falls within the scope of Section 3(a) of the said Act. The Commission gave the following reasons for arriving at its determination:

At page 17 of X3 (Determination of TAC),

“With regard to the substantive grounds, one of the issues to be decided in this case relates to dividend income and profits on the sale of investments. The Respondent in this case has considered dividend income and profits on the sale of investments earned by the Appellant for the year of assessment 2005/2006 and 2006/2007, as part of the statutory income of the Appellant company in terms of section 3(a) of the Inland Revenue Act, No.38 of 2000 and the Inland Revenue Act, No 10 of 2006.

However, the argument of the Representative for the Appellant was that the dividend income is a separate source of income coming under section 3(e) of the said Inland Revenue Acts. Further, he submitted that dividend income should not be considered as forming part of the statutory income of the Appellant in view of Section 58 of the Inland Revenue Act No 38 of 2000 and Section 63 of the Inland Revenue Act No 10 of 2006 and therefore, Representative contended that the dividend received in this case cannot form part of the statutory income of the Appellant.

It was submitted that Section 63 of the Inland Revenue Act, No. 10 of 2006, contemplates that treatment is to be examined from the distributing entity's point of view rather than the from

recipient's point of view. Representative also referred to the interpretation given in section 217 of the Inland Revenue Act to the term 'dividend' and argued that having regard to Section 63 and Section 217 of the Inland Revenue Act No 1C of 2006, the dividend shall notwithstanding anything to the contrary in any other provision of the said Act, be deemed not to form part of the statutory income of the Appellant. It was also submitted by the Representative for the Appellant that the gains arising on the sale of shares held for a period in excess of two years are not liable for income tax and referred to section 14 (1) (xvii) of the Inland Revenue Act, No. 38 of 2000 (as amended) and section 38 (D) of the Inland Revenue Act, No. 38 of 2000 as amended by Inland Revenue (Amendment) Act, No. 12 of 2004. In respect of the year of assessment 2006/2007, the Representative referred to section 44 of the Inland Revenue Act, No. 10 of 2006, (as amended) and submitted that gains received from the sale of shares are not liable to income tax by operation of law.

*The Contention of the representative for the Respondent was that, section 63 of the Inland Revenue Act will not apply to any dividends Earned as income from the main business activity carried on by the Appellant Company. According to the audited statement of accounts filed, the principal activity carried on by the Appellant Company, has been the business of a **venture capital company** and an **investment company**. Therefore, it was submitted that the income earned as dividends and profits on the sale of shares should be considered as gross receipts from trade or business in terms of section 3 (a) of the Inland Revenue Act."*

This position finds support from the case of **The Ceylon Financial Investments Co., Ltd. Vs The Commissioner of Income Tax, 1 CTC 234**, where it was held that the income of a Company-derived from dividends and interest falls within the words "profits of a business" of Section 6 (1) (a) of the Income Tax Ordinance (which provision is similar to Section 3 (a) of the present Inland Revenue Act).

The Appellant Company is a Venture Capital Company, and its object is to invest money in shares of related and other companies. Its income is derived mainly from dividends declared and the sale of shares. Therefore, according to the nature of the business of the Appellant, its dividend income would exclusively fall under Section 3(a) of the Inland Revenue Act, No. 10 of 2006.

It is to be noted that dividend income is part of business income in the case of the Appellant Company. That is, for the Appellant, dividend income is not aggregated as a separate source of statutory income, but is included as part of business income. However, in the case of ordinary companies other than Investment Companies, Section 63 of the Inland Revenue Act is applied. It is important to understand the distinction between the source of profits from the business of an Investment Company and the source of dividend

income in other companies. In the present case, the Appellant's dividend income is not considered as a separate source of income falling under Section 3(e) of the Inland Revenue Act, but is considered as profits of the business under Section 3 (a) of the Inland Revenue Act.

In the instant case, the Appellant has obtained the exemption under Section 22 DDD of the Act No. 22 of 1990, Inland Revenue (as Amended), by declaring the dividend income as business income within Section 3(a) of the Inland Revenue Act for ten years.

At this juncture, it is pertinent to refer to Section 22 DDD of the said Act, which reads as follows;

Section 22 DDD (1)

“The profits and income within the meaning of section 3 (a) (other than profits and income from the sale of capital assets) of any company referred to in sub-section (2) from any undertaking referred to in subsection (2), shall be exempt from income tax for a period of ten years from the commencement of the year of assessment in which company commenced to carry on business.”

Section 22 DDD (2)

“The provisions of subsection (1), shall apply to any company approved for the purposes of this section by the Minister by notice published in the Gazette and which is engaged solely in carrying on an under-taking of providing venture capital to any undertaking engaged in the manufacture of export of goods.”

It should be noted that the aforesaid section provides an exemption from income, including dividend income, arising as business income within the meaning of Section 3(a) of the Act, to a company engaged in providing venture capital to any undertaking. According to the Memorandum of Association and Articles of Association of the Appellant Company, it is evident that the Appellant is engaged in the business of Venture capital. It was on this basis that the Minister granted the Appellant a tax exemption for a period of ten years.

After the expiration of the ten-year period during which the Appellant Company had treated its dividend income as business income falling within the scope of Section 3(a) of the Act and had enjoyed the tax exemption granted under Section 22DDD, the Appellant Company now seeks to claim the benefit of the exclusion introduced specifically in respect of dividend income under Section 58 of Act No. 38 of 2000 and Section 63 of Act No. 10 of 2006 (as amended) respectively.

I am mindful that, when the Appellant Company obtained the exemption under Section 22DDD, it was required to amend its Memorandum of Association to provide that the Appellant Company shall not carry on any business other than that *“of an undertaking providing venture capital by way of equity participation and activities incidental thereto.”* This requirement was a prerequisite to ensuring that the Appellant Company engaged exclusively in the business of providing venture capital under and in terms of Section 22DDD.

I am also mindful that, when the Applicant Company applied for the exemption under Section 22DDD on 05th February 1992, the prevailing legislation contained provisions relating to dividend income having a similar effect to those subsequently introduced by Section 58 of Act No. 38 of 2000 and Section 63 of Act No. 10 of 2006.

The relevant provisions of all three sections are set out below:

Inland Revenue Act, No. 28 of 1979	Inland Revenue Act, No 38 of 2000	Inland Revenue Act, No.10 of 2006
35. Where a dividend is paid by any resident company to any resident or non-resident company and either- (a) a deduction has been made under section 38 in respect of that dividend by the first-mentioned resident company; or (b) that dividend is exempt from income tax under section 11; or (c) that dividend consists of any part of the amount of a dividend received by the	58. Where a dividend is paid by any resident company to any resident or non-resident company and either- (a) a deduction has been made under section 61 in respect of that dividend by the first-mentioned resident company; or (b) that dividend is exempt from income tax under section 11; or (c) such dividend consists of any part of the amount of a dividend received by the first-mentioned	63. Where a dividend is paid by any resident company to any resident or non-resident company, and either- a. A deduction has been made under section 65 in respect of that dividend by the first mentioned resident company; b. that dividend is exempt from income tax under section 10; c. such dividend consists of any part of the amount of a dividend received by the first-mentioned resident company from another resident company; or

first_-mentioned resident company from another resident company, that divided shall, notwithstanding anything to the contrary in any other provision of this Act, be deemed not to form part of the assessable income of the second-mentioned company.	resident company from another resident company; or (d) such a dividend is a dividend declared by a quoted public company, such dividend shall, notwithstanding anything to the contrary in any other provision of this Act, be deemed not to form part of the assessable income of the second-mentioned company.	d. such dividend is a dividend declared by a quoted public company, Profits and income from such dividend shall, notwithstanding anything to the contrary in any other provision of this Act, be deemed not to form part of the total statutory income of the second-mentioned company. For the purpose of this section the profits and income from such dividends which form part of the profits under section 3(a) of this Act, means profits and income after deducting expenses in ascertaining the profits from such business of receiving dividends. The profits of a company from transactions with its shareholders which would be assessable if such transactions were with persons other than its shareholders, shall be profits within the meaning of this Act.
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Although there is an exemption for dividends under Section 35 of the Inland Revenue Act, No. 28 of 1979, instead of that, the Appellant Company claims the exemption under Section 22DDD, declaring the dividend income as business income under Section 3(a) of the said Act, commencing from 05th February 1992 to 05th February 2002.

After declaring the particular income under Section 3(a) of the said Act, which has been the beneficiary of the exemption granted to a venture capital company for ten years, now, after the expiry of such exemption, seeks to claim the benefit of the exclusion, which is only for dividend income under Section 58 and Section 63 of the respective Acts.

According to the TAC decision, it considered that dividend income is part of business income under Section 3 of the said Act, and further held that Section 63 does not apply when the dividend income is earned as part of statutory income. The reason given by TAC was that the Appellant is an Investment Company that earns profit from investing its money in shares.

They relied on **Ceylon Financial Investments Ltd. v. Commissioner of Income Tax**, (*Supra*). This Court has to consider whether the Respondent has correctly identified that the dividend income in question can be categorised under Section 3(a) of the said Act and whether the Appellant Company, in fact, carries on a business of investment.

A similar question arose in **Ceylon Financial Investments Ltd. V. Commissioner of Income Tax**, 43 NLR, 1 at page 5, Howard CJ held that

“It is interesting to note that in his argument the Attorney-General stated that, if investment is made by a bank as part of its banking business in Ceylon interest would not be taxed separately under section 6 (1) (e), but the profits of the business would be charged under section 6 (1) (a). In the case of the National Bank of India v. Commissioner of Income Tax (supra) it was, therefore, stated by Counsel for the Crown and assumed by the Court that, so far as Bank interest was concerned, the income would be ascertained as in the case of a business under section 6 (1) (a). In order to meet the contention of the Crown that the Appellant-Company should be assessed under section 6 (1) (e) and not as a "business" under section 6 (1) (a), Counsel for the Appellant has referred us to numerous English authorities to establish the proposition that, although the income of the Company was derived solely from dividends declared by other companies in which it owed shares and interest on moneys lent out by it and its operations included no other trading enterprise, it was carrying on a business. In Commissioners of Inland Revenue v. The Korean Syndicate Limited', it was held by the Court of Appeal that, although during the years material to the case the Syndicate's activities were confined to receiving the bank interest and royalties (its only income) distributing the amount amongst its shareholders and paying the premiums on a sinking fund policy, the syndicate was carrying on the business for which it was incorporated of acquiring concessions and

turning them to account and that the profits derived therefrom were liable to Excess Profits Duty. In Atkin L.J's judgment it is stated as follows:-

"For I see nothing to prevent a holding company, which is a very well-known method of carrying on business in these days, from carrying on business."

The following passages from Lord Sterndale MR's judgment are also in point: -

"An individual comes into existence for many purposes, or perhaps sometimes for none, whereas a limited Company comes into existence for some particular purpose of carrying out a transaction by getting possession of concessions and turning them to account, then that is a matter to be considered when you come to decide whether doing that is carrying on a business or not."

.....

Applying the principles laid down in the English cases which, I have cited there can be no doubt that the Appellant company, though functioning as an Investment Company only for which purpose it came into existence, has not accomplished its purpose and was carrying on business in the way a holding company does carry on business. I am, therefore, of opinion that the income derived by the Appellant company from dividends and interest fall within the words "profits from any business" under section 6 (1) (a)."

In his separate judgment at page 12, His Lordship Soerfsz, J, held that;

"If then the business of an individual or a company consist in the receipt of dividends, interest or discounts alone, or if the business receiving dividends, interest or discounts can be clearly separated from the rest of the trade or business, then any special provisions applicable to dividends, interests or discounts must be applied", in so far as that statement, as I understand it, implies that section 9 (3) will uniformly apply if the " interest " part of the gains of a business is separate or separable from the " dividends " part of it.

The view I have reached is that the categories enumerated in section 6 (1) are mutually exclusive and that the question whether 6 (1) (a) or 6 (1) (e) applies in a particular case, depends on whether we are dealing with the profits of a business or the income of an individual. If it is a case of dividends, interest, or discounts appertaining to a business, they fall within the words " profits of any business " and section 6 (1) (a) applies. If, however, it is a case of dividends, interest or discounts accruing to an individual not, in

the course of a business, but as a part of his income from simple investments, then section 6 (1) (e) is the relevant section, and so far as interest is concerned, section 9 (3) modifies section 9 (1).”

His Lordship, Keuneman, J., in his separate judgment at page 20 held that;

“ How then are we to treat income which comes under source (e) but can also be regarded as coming under source (a)? In my opinion, it was the intention of the Ordinance to regard dividends, interest or discounts as a separate source. If then the business of an individual or a company consists in the receipt of dividends, interest or discounts alone, or if the business of receiving dividends, interest or discounts can be clearly separated from the rest of the trade or business, then any special provisions applicable to dividends, interest or discounts must be applied. I do not think any question of option arises.”

Upon perusing the brief, I find that the principal business of the Appellant Company is the investment of funds in shares, and that dividends constitute its principal source of income. In the instant case, there is no doubt that the Appellant Company is engaged in the business of investing in shares of related and other companies, in accordance with the business objects of the Company as set out in its Articles of Association.

In these circumstances, it is clear that the Appellant’s investments in shares were made in the course of carrying on its business. Accordingly, the income derived therefrom, including dividend income, ought to be treated as income arising from a business falling within the scope of Section 3(a) of the Inland Revenue Act.

To be eligible under Section 63 of No.10 of 2006, the Appellant should prove that the so-called dividend received should fall under Section 3(e) and not under Section 3 (a). The Appellant Company has failed to prove that investing in shares in other companies falls outside Section 3(a) of the Inland Revenue Act, which means that the principal source of income is not derived from dividends.

On the other hand, the Respondent has established that the principal source of income of the Appellant Company is derived from dividends. The letter of intimation dated 04th August 2007 indicates that 90% of the total income of the Appellant Company was derived from investments in shares, representing profits arising from the Appellant’s business.

In its written submissions, the Appellant contended that, pursuant to Section 63 of the said Act, as amended by Act No. 09 of 2015, profits derived from dividends falling within Section 3(a) of the said Act are also included within the scope of the said provision.

Section 63 of the said Act was originally amended by Act No. 08 of 2014 and reads as follows:

Section 27 of Act No.8 of 2014

“Section 63 of the principal enactment as last amended by Act No. 10 of 2007 is hereby further amended by the substitution for the words “such dividend shall,” of the words “profits and income from such dividend shall,”.

Later, this was amended by Act No.9 of 2015

“Section 23; “For the purpose of this section is the profits and income from such dividends which form part of the profits under section 3(a) of this Act, means profits and income after deducting expenses in ascertaining the profits from such business of receiving dividends.”

I note that the TAC determination was on 8th September 2015 and the said amendment No.09 of 2015 was certified on 30th October 2015. Therefore, it is clear that the said amendment was not in force during the relevant years of assessment.

It is necessary to examine whether the amending Acts have any retrospective effect and, if so, to what extent.

Regarding retrospective effect, it was discussed by Priyantha Jayawardena PC, J, in **Seylan Bank PLC v. The Commissioner General of Inland Revenue**, SC Appeal No. 46/2016, decided on 16.12.2021, his lordship held that;

“Retrospective operation of procedural laws

Article 75 of the Constitution confers power on the legislature to make laws, including laws having retrospective effect. The general principle of interpretation of statutes is described in the Latin maxim ‘lex prospicit non respicit’ (the law looks forward, not backward). Thus, amendments made to substantive laws have a prospective effect, unless its effect has been made retrospective by express provision in the Act or by necessary implication. On the other hand, amendments made to procedural laws are presumed to have retrospective effect, unless its effect has been made prospective by express provision in the Act or by necessary implication, or such construction is textually not possible.

A similar view was expressed in **Maxwell on Interpretation of Statutes**, 12th edition, at page 222, which stated;

“It is perfectly settled law that if the legislature intended to frame a new procedure that, instead of proceeding in this form or that, you should proceed in another and a different way, clearly then bygone transactions are to be sued for and enforced according to the new form of procedure. Alterations in the form of procedure are always retrospective unless there is some good reason or other why they should not be.”

Further, the Supreme Court of India in **Hitendra Vishnu Thakur & Others v State of Maharashtra & Others (1994) 4 SCC 602** held;

“(i) A statute which affects substantive rights is presumed to be prospective in operation unless made retrospective, either expressly or by necessary intendment, whereas a statute which merely affects procedure, unless such a construction is textually impossible, is presumed to be retrospective in its application, should not be given an extended meaning and should be strictly confined to its clearly defined limits;

(ii) Law relating to forum and limitation is procedural in nature, whereas law relating to right of action and right of appeal, even though remedial, is substantive in nature;

(iii) Every litigant has a vested right in substantive law, but no such right exists in procedural law;

(iv) A procedural statute should not generally speaking be applied retrospectively, where the result would be to create new disabilities or obligations or to impose new duties in respect of transactions already accomplished; and

(v) A statute which not only changes the procedure but also creates new rights and liabilities shall be construed to be prospective in operation unless otherwise provided, either expressly or by necessary implication. [Emphasis added]”

His Lordship further held that, if the aforesaid amendments to the principal Act were procedural in nature, the Court could presume that they were intended to have retrospective effect.

In **Handunwala Devage Simon Fernando V Ranepura Hector Jayasiri and Others**; SC Appeal No.134/2014, decided on 14.07.2020, Amarasekara J, addressing the retrospective application of a statute, observed that,

‘Therefore, it is necessary to examine whether the amending Act has any retrospective effect and, if so to what extent.

In Colombo Apothecaries Limited Vs E.A. Wijesooriya 73 NLR 05 it was stated that “A statute may be brought into operation after the date of its enactment and it can also, provided the language is clear and unambiguous, be made to operate before enactment.”

It was held in Grocock Vs Grocock (1920) 1 KB 1 DC at page 9 that “ In the absence of an expressed intention that a statute shall have a retrospective operation, the rule is nova constitutio futuris formam imponere debet non praeteritis.”(Every new rule ought to prescribe a form for future, not for past acts; a new law ought to impose form on what is to follow, not on the past.)

Even on behalf of the Original Creditor, while referring to Grocock Vs Grocock (1920) 1 KB 1 DC, R Vs Chandra Dharma (1905) 2 KB 335 and Director Public Prosecution Vs Lamb (1941) 2 All ER 499 , it was submitted that “a statute ought not be held retrospective in its operation, unless the words are clear, precise and quite free from ambiguity”. It was further submitted that statutes have retrospective effect when the declared intention of the legislature is clearly and unequivocally manifest from the language employed in the particular law or in the context of connected provisions.

In this regard following decisions and texts have also been brought to the attention of this court.

“The rule against retrospective operation is a presumption only. It may be overcome, not only by express words in the Act but also by circumstances sufficiently strong to displace it.” -- Vide page 225 of the 12th Edition of Maxwell on Interpretation of Statutes by P. St. J. Langan referring to Sunshine Porcelain Potteries Pty. Ltd. V Nash [1961] A C 927.

Maxwell on the Interpretation of Statutes (12th Edition) at pages 215 and 216 –

“Upon the presumption that the legislature does not intend what is unjust rests the leaning against giving certain statutes a retrospective operation. They are construed as operating only in cases or on facts which come into existence after the statutes were passed unless a retrospective effect is clearly intended. It is a fundamental rule of English law that no statute shall be construed to have a retrospective operation unless such a construction appears very clearly in the terms of the Act, or arises by necessary and distinct implication.

The statement of the law contained in the preceding paragraph has been “so frequently quoted with approval that it now itself enjoys almost judicial authority.”

One of the most well-known statements of the rule regarding retrospectivity is contained in this passage from the judgment of R.S. Wright J. in Re Athlumney;

“Perhaps no rule of construction is more firmly established than this – that a retrospective operation is not to be given to a statute so as to impair an existing right or obligation, otherwise than as regards matter of procedure, unless that effect cannot be avoided without doing violence to the language of the enactment. If the enactment is expressed in language which is fairly capable of either interpretation, it ought to be construed as prospective only.” The rule has, in fact, two aspects, for it “involves another and subordinate rule, to the effect that a statute is not to be construed so as to have a greater retrospective operation than its language renders necessary.”

If however, the language or the dominant intention of the enactment so demands, the Act must be construed so as to have retrospective operation, for “the rule against the retrospective effect of statutes is not a rigid or inflexible rule but is one to be applied always in the light of the language of the statute and the subject matter with which the statute is dealing.”

Hence, I hold that the amendments introduced in 2014 and 2015 were not intended to operate retrospectively, as the State has no obligation to revise taxes already assessed or charged. Accordingly, I hold that the said amendments to Section 63 have no application to the present matter and do not have retrospective effect. Therefore, I hold that the dividends received by the Appellant Company constitute statutory income and are liable to be treated accordingly.

Further, I note that the Appellant, in his written submissions filed on 31st August 2026, has brought to the attention of this Court two judgments, namely CA TAX 20/2022 and CA TAX 21/2022.

It is pertinent to refer to page 12 of the judgment in Case No. CA TAX 20/2022, which was decided on 24th October 2024.

“Based on the above circumstances, I am of the view that the Commissioner General of Inland Revenue and the TAC have erred in law in failing to recognize that the Appellant company functions as a Holding Company as opposed to an Investment Company. I answer the third question of law in the affirmative and in favour of the Appellant.”

In both cases, the Court held that the business of the Appellant Company was that of a Holding Company and not an Investment Company. It was on that basis that the respective judgments were delivered. In the instant case, however, the Appellant Company was declared to be an Investment Company. Accordingly,

the factual and legal circumstances of the present case are distinguishable from those considered in CA TAX 20/2022 and CA TAX 21/2022.

For the aforesaid reasons, I hold that the decisions in both cases have no bearing on the present case.

Question of Law No. 03 is *‘Are gains arising on the sale of shares which have been held by the Appellant for a period in excess of two years not liable to income tax?’*

In this matter, as I have already dealt with Question of Law No. 02, it is evident that the Company had declared the sale of shares as its main source of income under Section 3(a) of the Inland Revenue Act and had already enjoyed a tax exemption in respect of such trading income for a period of ten years. Therefore, in terms of Section 38(d) of the Inland Revenue Act, the profit arising from the sale of shares could not be exempted from tax. The exemption could only be granted in respect of separate sources of income.

It is pertinent to refer to the relevant portion of the determination, wherein the TAC has decided this issue.

Page 22 of X3,

“It was also submitted by the Representative for the Appellant that the gains arising on the sale of shares held for a period in excess of two years are not liable for income tax and referred to section 14(1) (xvii) of the Inland Revenue Act, No. 38 of 2000(as amended) and section 38 (D) of the Inland Revenue Act, No. 38 of 2000 as amended by Inland Revenue (Amendment) Act, No. 12 of 2004. In respect of the year of assessment 2006/2007, Representative referred to section 44 of the Inland Revenue Act, No. 10 of 2006, (as amended) and submitted that gains received from the sale of shares are not liable to income tax by operation of law.”

Further held that

“Even in the case of profits on the sale of shares, like in the case of dividends, exemptions are granted for the separate sources. Therefore, as stated above, in the case of dividends and profits on the sale of shares from investment in shares should be considered as Gross Receipts from trade or business in terms of section 3(a) of the Inland Revenue Act, for the purpose of computing statutory income.”

It should be noted that the Appellant Company is an investment company, and its main object involves the buying and eventual sale of shares. Therefore, any gains arising from the sale of such shares constitute regular business profits and are liable to tax at the standard income tax rates.

The Court observes that the intention underlying the acquisition of the shares is a material consideration. In the present case, the primary intention of the Appellant Company, an Investment Company that invests money in shares at the time of acquisition, was to earn profits. Accordingly, any profits arising from the subsequent sale of such shares cannot be regarded as constituting a separate source of income. Consequently, such profits fall within the ambit of Section 3(a) of the Inland Revenue Act.

Accordingly, the answer to Question of Law No. 03 is in the negative. I observe that the TAC has treated the proceeds from the sale of shares as gross receipts arising from ordinary trading profit/ business income within the meaning of Section 3 of the said Act.

Question of Law No. 04 is *‘Are dividends received by the Appellant from Board of Investment of Sri Lanka companies and any gains arising on the sales of shares not liable to income tax in the hands of the Appellant, if there are express stipulations to that effect in the relevant Board of Investment of Sri Lanka agreement?’*

This question has already been answered in relation to Question of Law No. 02. I am also of the view that the TAC has rightly concluded that the Appellant failed to produce the relevant documents to establish whether the dividends received were from BOI companies.

The general rule is that a party who seeks to claim an exemption bears the burden of establishing the facts necessary to support such exemption and must adduce sufficient evidence in that regard. I am also mindful that the amendments to the relevant section have no retrospective effect. Accordingly, the answer to Question of Law No. 04 is in the negative.

Question of Law No. 5 is *‘Is the interest income received by the Appellant taxable at the rate applicable to venture capital companies?’*

The TAC has rightly taken into consideration the fact that, upon the expiry of the ten-year tax exemption period, the applicable rate of tax, in terms of Part IB of the Second Schedule to the Inland Revenue Act no 38 of 2000(as amended by Act No. 37 of 2003), was 20%. It should be noted that the income earned by a venture capital company from fixed deposits and Treasury bills does not fall within the scope of the exemption. The exemption is available only in respect of income derived from investments made in the course of venture capital activities involving an element of risk. Accordingly, the assessment imposed by the Respondent is correct.

Question of Law No. 6 is *“Are management fees and legal expenses incurred by the Appellant deductible in full?”*

In this matter, the Respondent allowed a deduction of 10% of the Company's gross receipts as management fees for the years of assessment 2005/2006 and 2006/2007, together with the legal expenses claimed.

The Respondent has stated that the Appellant has failed to substantiate, by way of evidence or supporting documents, the management fees or legal expenses claimed. Even at this stage before the TAC, the Appellant has failed to produce any documentary evidence in support of such claims. Therefore, the answer to Question of Law No. 6 is negative.

Questions of Law No 7 and 8 are “*Is the amount assessed, as confirmed by the TAC, against the weight of evidence, excessive and without lawful justification?*” and “*In view of the facts and circumstances of the case, did the TAC err in law when it came to the conclusion that it did?*”

Since I have already answered Questions of Law Nos. 2 and 6 in the negative, I hold that the TAC has correctly arrived at its conclusion in affirming the decision of the Respondent. Hence, the answers to Questions of Law No 7 and 8 are negative.

For the reasons set out above, this Court holds that the TAC did not err in law in reaching its conclusion. Accordingly, this Court answers the questions of law in the Case Stated for the opinion of this Court as follows,

Question of Law No. 01 - Need not be addressed

Question of Law No. 02 – Negative

Question of Law No 03 – Negative

Question of Law No 04 – Negative

Question of Law No 05 – Negative

Question of Law No 06 – Negative

Question of Law No 07 – Negative

Question of Law No 08 – Negative

In light of the answers given to the eight Questions of Law, acting under Section 11A (6) of the Tax Appeal Commission Act No. 23 of 2011, as amended, I affirm the determinations made by the TAC and dismiss this appeal.

The Registrar is directed to send a certified copy of this judgment to the Secretary of the Tax Appeal Commission.

Application dismissed.

JUDGE OF THE COURT OF APPEAL

Adithya Patabendige, J.

I AGREE

JUDGE OF THE COURT OF APPEAL